
ACCOUNTING 1-AA015

CHAPTER 9 : ACCOUNTING FOR NON-CURRENT ASSET

QUESTION 1

On 1 March 2021, SAMS Sdn Bhd purchased a machine for RM279,000. The estimated useful life was 10 years with RM15,000 residual value. The machine was able to produce up to 240,000 units of products and operate up to 25,000 working hours. In 2022, SAMS Sdn Bhd used the machine for 2,650 hours and produced 25,500 units of products. (Accounting period ended 31 December annually)

Required:

Calculate the total depreciation expense for 2022 using the following methods:

- (i) Straight line [2 marks]
- (ii) Reducing balance (10%) [2 marks]

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QUESTION 2

Encik Q, owner of Perniagaan Akil has decided to change the old food processing machine to a new machine to cater for high demand. The following are the information regarding the transaction.

Particulars	Tich Model (Old)	Tech Model (New)
Cost	RM125,000	RM150,000
Date acquired	1 May 2016	5 July 2021
Salvage value	RM5,000	RM10,000
Depreciation rate	10 %	12.5%

Additional information:

- The supplier of Tech Model has agreed to accept Tich Model by receiving cash RM5,000 as machine exchange allowance.
- Perniagaan Akil uses straight-line method to calculate depreciation by setting depreciation expenses to be calculated according to the month of ownership and no depreciation charged in the disposal month.
- Perniagaan Akil accounting period ended 31 December.

REQUIRED:

- Prepare journal entries to record purchase of Tech Model on 5 July 2021 (omit explanations)

[8 marks]

- Prepare journal entries to record depreciation expenses for 2021 (omit explanations)

[2 marks]

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QUESTION 1

- (i) Depreciation expense for 2022 (straight line method)

$$= \frac{\text{RM}279,000 - \text{RM}15,000}{10}$$
$$= \text{RM}26,400$$

[4 x ½ = 2 marks]

- (ii)

Year	Depreciation Expense (RM)	Accumulated Depreciation (RM)	Book Value (RM)
			279,000
2021	$279,000 \times 10\% = 27,900$	27,900	$279,000 - 27,900 = 251,100$
2022	$251,100 \times 10\% = 25,110$	$27,900 + 25,110 = 53,010$	$279,000 - 53,010 = 225,990$

Depreciation expense for 2022 (reducing balance method) = RM25,110

[4 x ½ = 2 marks]

QUESTION 2

(i)

Date	Account titles and explanations	Debit (RM)	Credit (RM)
2021 July 5	Dr Depreciation expense – Machine (Old) Cr Accumulated depreciation - Machine [(RM125,000 - 5,000) x 10% x 6/12]	6,000	6,000
	Dr Machine (New @ Tech) Accumulated Depreciation - Machine Cr Machine (Old @ Tich) Cash Gain on disposal	150,000 62,000	125,000 5,000 82,000

Calculation of depreciation expense and accumulated depreciation for Tich Model:

Years	Calculation (RM)	Depreciation expense
2016	$(125,000 - 5,000) \times 10\% \times 8/12$	RM 8,000
2017 - 2020	$(125,000 - 5,000) \times 10\% \times 4$	RM 48,000
2021	$(125,000 - 5,000) \times 10\% \times 6/12$	<u>RM 6,000</u>
Accumulated depreciation		<u>RM 62,000</u>

$$\begin{aligned}\text{Book value} &= 125,000 - 62,000 \\ &= \text{RM } 63,000\end{aligned}$$

$$\begin{aligned}\text{Cash Paid} &= \text{New Asset Cost} - \text{Trade-In Value} \\ 5000 &= 150,000 - \text{Trade-In Value} \\ \text{Trade-In Value} &= \text{RM } 145,000\end{aligned}$$

$$\begin{aligned}\text{Gain on disposal} &= \text{Trade in value} - \text{book value} \\ &= \text{RM } 145,000 - 63,000 \\ &= \text{RM } 82,000\end{aligned}$$

(ii)

	Account titles and explanations	Debit (RM)	Credit (RM)
2021 Dec 31	Dr Depreciation expense – Machine (New) Cr Accumulated depreciation - Machine $12.5\% \times (150,000 - 10,000) \times \frac{6}{12}$	8,750	8,750